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LA PUBLIC SERVICE COMM
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VIA FAX and Overnight Mail

Ms. Kris Abel
Records and Recording Division
Louisiana Public Service Commission
Galvez Building, 12th Floor
602 North Fifth Street
Baton Rouge, Louisiana 70802

Re: Application for Approval of Generation and Transmission Resources in Connection with Service to a Single Customer for a Project in North Louisiana, **Docket No. U-37425**

Dear Ms. Abel:

Enclosed for filing in the above-captioned docket please find original and two (2) copies of the Reply to ELL's Opposition to the Alliance for Affordable Energy and the Union of Concerned Scientists Motion for Investigation of the New Financial Arrangement of Meta Platforms, LLC Associated with the Hyperion Data Center Project in Richland Parish, and Motion to Institute Prudence Review of Entergy Louisiana, LLC. As required by the filing rules, an original and two copies along with the $25.00 fee will be mailed to the Commission.

Thank you in advance for your assistance and please do not hesitate to contact me should you have any questions or concerns.

Respectfully submitted,

Susan Stevens Miller

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cc: official service list Docket No. U-37425 (via email)

UPS

LA PUBLIC SERVICE COMM
FEB 23 2026 PM01:39

STATE OF LOUISIANA
BEFORE THE
LOUISIANA PUBLIC SERVICE COMMISSION

APPLICATION OF ENTERGY LOUISIANA, LLC FOR APPROVAL OF GENERATION AND TRANSMISSION RESOURCES PROPOSED IN CONNECTION WITH SERVICE TO A SIGNIFICANT CUSTOMER PROJECT IN NORTH LOUISIANA, INCLUDING PROPOSED RIDER, AND REQUEST FOR TIMELY TREATMENT	)	**DOCKET NO. U-37425**

REPLY OF THE ALLIANCE FOR AFFORDABLE ENERGY AND THE UNION OF CONCERNED SCIENTISTS TO ENTERGY LOUISIANA' S OPPOSITION TO THE MOTION FOR INVESTIGATION OF THE NEW FINANCIAL ARRANGEMENT OF META PLATFORMS, LLC ASSOCIATED WITH THE HYPERION DATA CENTER PROJECT IN RICHLAND PARISH, AND MOTION TO INSTITUTE PRUDENCE REVIEW OF ENTERGY LOUISIANA, LLC

NOW COMES the Alliance for Affordable Energy and the Union of Concerned Scientists (jointly "Non-Profit Organizations" or "NPOs") through undersigned counsel who respectfully submit, in response to the opposition filed by Entergy Louisiana, LLC ("ELL" or "Company") this Reply to ELL's Opposition to the NPO Motion for Investigation and Prudence Review.

ELL has a history of disparaging the NPOs' motives rather than addressing the actual issues raised, and ELL's Opposition in this case is no exception. However, ELL's unwarranted attacks on the NPOs cannot change the facts and the issues which those facts raise.

Apparently, immediately after the Commission's approval of the application, and quite probably even before the August 20th Business and Executive Session ("B&E Session"), Meta Platforms, LLC ("Meta") fundamentally altered the financial arrangements associated with the Richland Parish project.[1] According to an investigative report published by the Wall Street Journal ("WSJ"),[2] Blue Owl Capital ("Blue Owl")[3] created a joint venture named Beignet Investor LLC ("Beignet"). Beignet now owns an 80% stake in the data center, while Meta retains only a 20% stake. Rather than Meta, Beignet now owns Laidley.[4] Laidley remains the sole signatory to the energy services contract with ELL. Meta will pay rent to Beignet to use the data center but retains the ability to exit its lease **every four years**. If Meta exits, Blue Owl would sell the center, using proceeds to first pay outstanding bonds, then itself. If the sale proceeds are less than bondholders were owed plus what Blue Owl had invested (with a profit) Meta would pay the difference to Blue Owl and the bondholders. Meta will provide a guaranty to Blue Owl that

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[1] Even Meta's own auditor raised concerns about this financial arrangement. Meta's latest annual report contained an unusual, cautionary note for investors. The tech giant's auditor, Ernst & Young, raised a red flag over the financial engineering Meta used to keep a $27 billion data-center project off its balance sheet. The firm flagged it as a "critical audit matter." **Meta Auditor EY Raised Red Flag on Data-Center Accounting**

[2] Three AI Megadeals Are Breaking New Ground on Wall Street (Nov 11, 2025) https://www.wsj.com/tech/ai/three-ai-megadeals-are-breaking-new-ground-on-wall-street-896e0023. ("WSJ Report")

[3] The Commission should be aware that since Blue Owl purchased the data center from Meta it has experienced a record-setting stock plunge triggered by doubts about the firm's private credit investments. The co-chief executive officers have pledged more than half of their Blue Owl stakes in order to secure loans from financial institutions. The value of that collateral has slumped by $260 million since the start of the year as Blue Owl's shares have lost 16% of their value. Blue Owl has previously warned investors that that the firm's shares "could decline materially" if the co-chief executive officers have to sell more of their stock in the event of a margin call. Blue Owl Founders Pledged Over Half Their Stakes Before OWL Stock Tumbled - Bloomberg. The Commission should be concerned that the owner of the Hyperion data center is experiencing severe financial difficulties.

[4] Beignet Investor LLC's $27.3 Billion Senior Secured Debt Assigned Preliminary 'A+' Rating; Outlook Stable (Oct. 16, 2025), Beignet Investor LLC's $27.3 Billion Senior Secur | S&P Global Ratings

will guarantee its rent obligations and payment obligations.[5] Meta is off-loading its own risk by placing that financial risk on others, including captive ratepayers who will be on the hook for all the infrastructure built solely for this data center should Meta exercise its option to walk away.

The new financial structure significantly increases ratepayer risk because now, instead of being bound by an initial term of 15 years, Meta is leasing the data center and can walk away after only 4 years. This four-year term potentially significantly increases the amount of stranded costs that ratepayers are at risk of having to pay. If Meta walks away from the data center, Laidley will have no reason to continue as a customer of ELL since it is simply a finance vehicle not a data center operator. Even if the Parent Guaranty is enforceable (which is at best questionable under the new financial structure), the guaranty caps the financial liability of Meta. The earlier Meta walks away, the more likely that the cap will be exceeded and the amount ratepayers will be required to pay will increase.

ARGUMENT

I. ELL'S UNSUPPORTED ARGUMENT REGARDING HOW THE PARENT GUARANTY WILL BE INTERPRETED SHOULD BE REJECTED

ELL's sole response to the NPOs concerns regarding whether the parent guaranty remains enforceable now that Meta is no longer the parent of Laidley (ELL's customer of record) is to assert that the first term of the guaranty, which states that the agreement is a "Parent Guaranty", is irrelevant. ELL cites no support for this interpretation of the guaranty.[6]

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[5] *Id.*

[6] ELL Memorandum in Opposition at 8-9.

Under Louisiana law, every part of a contract "must be interpreted with a meaning that renders it effective and not with one that renders it ineffective."[7] Moreover, also under Louisiana law "Each provision in a contract must be interpreted in light of the other provisions so that each is given the meaning suggested by the contract as a whole."[8] ELL baldly asserts that the very first provision of the Guaranty is ineffective. The Commission should reject ELL's unsupported contention and investigate whether the Parent Guaranty is no longer enforceable.

ELL's disparaging of the NPOs' motives is irrelevant and patently false.[9] The fact that the Parent Guaranty was introduced in the proceeding is not relevant to the issues raised by the NPOs. The NPOs are asking the Commission to investigate the effect of the new financial structure on the enforceability of the Parent Guaranty. In particular, the fact that Beignet is now the parent of Laidley (the only entity who has contracted with ELL) and that Meta is now a lessee of the data center and not the owner raises questions regarding the enforceability of the Parent Guaranty. No party (with the possible exception of ELL) knew of the financial structure changes prior to the Commission's consideration of the application. The NPOs are not "recycling abstract concerns" which were previously raised in hearings,[10] the existence of these concerns was unknown to the parties during hearings and only became public two months after the Commission's approval of the application, as ELL acknowledges in its response.[11]

It is important for the Commission to bear in mind the actual request that the NPOs have made. The NPOs are not asking that the Commission declare the Parent Guaranty unenforceable,

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[7] La. Civ. Code art. 2049.
[8] La. Civ. Code art. 2050.
[9] ELL Opposition at 6-7.
[10] *Id.* at 7.
[11] *Id.* at 3, fn. 2.

the NPOs are asking the Commission to investigate the effect of the new, novel financial structure on the Parent Guaranty. No argument presented by ELL reduces the need for the investigation requested.[12]

II. *ELL'S CONTENTION THAT THE MOTION SEEKS COMMISSION INVOLVEMENT IN THE COMMERCIAL AFFAIRS OF UNREGULATED ENTITIES IS INCORRECT*

ELL asserts that the NPOs are demanding access to the private, commercially sensitive data of a utility customer and that the NPOs are seeking to have the Commission "inject itself" into the financial decisions of these private entities[13] is a contorted reading of the Motion and the assertion should be rejected by the Commission.

Contrary to ELL's assertions, the NPOs have simply asked that the Commission exercise its jurisdiction and its obligation to ensure that ratepayers are protected and that the actions of ELL are in the public interest. ELL claims that the Company put in place the guaranty and other credit protections that insulate ratepayers from any adverse impacts.[14] The new financial structure calls the viability of those alleged protections into question. The Commission needs to gather all the information necessary to determine if the ratepayers are protected. The Commission should reject ELL's hyperbolic contentions.

III. THE MOTION IS NOT A COLLATERAL ATTACK ON A FINAL COMMISSION ORDER

A request for a prudence review is not a collateral attack on a Commission order. As noted in the Motion, a prudence inquiry encompasses a public utility's *continuation* of an

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[12] The NPOs note once again that Staff requested a legal opinion on the enforceability of the Parent Guaranty. While ELL claimed during the August 20th B&E that the Company had obtained the opinion, this opinion is not part of the record and was not provided to the parties.
[13] ELL Opposition at 9.
[14] *Id.*

investment as well as its initial decision to enter into that investment.[15] The utility is required to respond prudently to *changing circumstances* or new challenges that arise as a project progresses.[16] A utility must demonstrate that it went through a reasonable decision-making process to arrive at its course of action and that it responded in reasonable manner, given facts as they were or should have been known at the time.[17]

Clearly, that is the NPOs' request in this instance. The Commission should exercise its authority to determine whether the project remains in the public interest and, if the project is no longer in the public interest, determine what steps need to be taken to protect ratepayers.

CONCLUSION

WHEREFORE, for the reasons set forth above and in the NPOs' Motion, the Alliance for Affordable Energy and the union of Concerned Scientists respectfully request that the Commission grant the Motion for an Investigation and Prudence Review and issue a procedural schedule which will allow for a full examination of the issues raised.

Respectfully submitted,

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[15] *Gulf States* at 85, *citing Re Central Vermont Public Service Corp.,* 83 P.U.R. 4th 532 (Vt. Pub. Serv. Bd. 1987).
[16] *Id., citing Re Long Island Lighting Company,* 71 P.U.R. 4th 462, 1985 WL 258217 (N.Y. Pub. Serv. Comm'n 1985). (emphasis added).
[17] *Gulf States at 85.*

CERTIFICATE OF SERVICE

I, Susan Stevens Miller, hereby certify that I have this 20th day of February, 2026, served copies of the foregoing on all other known parties on the Official Service List for Docket No. U-37425 via electronic mail.

Respectfully submitted,

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